THE INTELSAT DEFINITIVE ARRANGEMENTS+

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I. INTRODUCTION

In February of this year the definitive arrangements for the International Telecommunications Satellite Organization (INTELSAT) entered into force and thereby superseded and replaced the interim arrangements which had governed INTELSAT since its creation in August, 1964.[1] The entry into force of the new arrangements represents the culmination of one of the most complex multilateral negotiations ever undertaken, requiring three Plenipotentiary Conferences (1969, 1970 and 1971), three sessions of a Preparatory Committee between the first and second Conferences, and three sessions of an Intersessional Working Group before the final Conference.

The INTELSAT definitive arrangements are important not only to the continued development of the global commercial communications satellite system but also in the growth of international law and organization. In particular, they may provide some indication of what can be accomplished on an international level with respect to the practical application of modern technologies. It is the purpose of this paper to provide a description of the new organization, particularly the structural and financial aspects, in order to convey some understanding of how it will work in the future.

II. INTELSAT DEFINITIVE ARRANGEMENTS

A. Number and Type of Agreements
Membership Requirements

The definitive arrangements consist of two separate but related international agreements: Agreement Relating to the International Telecommunications Satellite

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+This paper is an elaboration of the author's presentation before the Inter-American Bar Association's Committee on Space Communications on April 24, 1972 in Quito, Ecuador.

[1]Agreement Establishing Interim Arrangements for a Global Commercial Communications Satellite System, August 20, 1964, 15 U.S.T. 1705, T.I.A.S. No. 5646 [hereinafter cited as Interim Agreement]. The interim arrangements consist of two separate but related agreements: Agreement Establishing Interim Arrangements for a Global Communications Satellite System (Interim Agreement) and a Special Agreement done in Washington on August 20, 1964, and entered into force August 20, 1964. The former is an intergovernmental agreement, the latter between the participants and investors in INTELSAT (the signatories to the Special Agreement). Provisions for settlement of disputes are contained in the Supplementary Agreement on Arbitration, done at Washington on June 4, 1965 and entered into force November 21, 1966. The name INTELSAT was adopted on October 28, 1965, and appears in copies of T.I.A.S. No. 5646 (reprinted in January, 1967). Article IX of the Interim Agreement contains the provisions respecting the negotiation of definitive arrangements. Article XV of the Interim Agreement provides that "This Agreement shall remain in effect until the entry into force of the definitive arrangement."

Organization "INTELSAT" with three Annexes, and Operating Agreement Relating to the International Telecommunications Satellite Organization "INTELSAT" with Annex.[2] Provisions for the settlement of disputes are contained in Annex C to the agreement. The Agreement is between governments and is the charter of INTELSAT, setting forth, *inter alia,* its structure, purposes and scope of activities. The Operating Agreement is between the actual participants and investors in INTELSAT (the Signatories) and contains their rights and obligations. As under the interim arrangements, the Signatories may be either the Governments Parties to the intergovernmental agreement or telecommunications entities, public or private, designated by those governments. The relationship between the Signatory and the Government designating it is a matter of domestic law.[3]

Membership in INTELSAT, under the interim arrangements, is open to the government of any State which is a member of the International Telecommunication Union (ITU); this is also a requirement of the definitive arrangements.[4]

B. Structure

The definitive arrangements establish a structure consisting of four organs: the Board of Governors, an executive organ responsible to the Board, an Assembly of Parties and a Meeting of Signatories.

1. The Board of Governors

A) Functions

The functions of the Board of Governors are almost identical to those of the Interim Committee, the governing body of INTELSAT under the interim arrangements. It is to have responsibility for the "design, development, construction, establishment, operation and maintenance of the INTELSAT space segment. . ." as well as other activities undertaken by INTELSAT.[5] Article X of the Agreement contains a lengthy list of most of the specific functions of the Board, some twenty-seven items in all. In short,

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[2]Agreement Relating to the International Telecommunications Satellite Organization "INTELSAT," August 20, 1971 [hereinafter cited as Agreement]; Operating Agreement Relating to the International Telecommunications Satellite Organization "INTELSAT," August 20, 1971 [hereinafter cited as Operating Agreement]; see T.I.A.S. No. 7532.

[3]Agreement, art. II b; Interim Agreement, art. II A.

[4]Interim Agreement, art XII a and b; Agreement, art. XIX a(1). Note that governments party to the Interim Agreement, whether then members of the ITU or not, may also adhere to the Agreement. Agreement, art. XIX a(11) and c. In addition the Agreement provides that "No party or its designated signatory shall be required to withdraw from INTELSAT as a direct result of any change in the status of that party with regard to the International Telecommunications Union." Agreement, art. XVI(n).

[5]Agreement, art. X(a). The other articles referred to include those dealing with the provision of facilities for specialized services. See Section IId *infra;* Agreement, art. IV(d)(e)(f) and VII(c)(iv). For the functions of the governing body of INTELSAT, the Interim Communications Satellite Committee, under the interim arrangements, see Interim Agreement, art. V.

the Board is the central organ of INTELSAT and the key to its proper operation and success.

B) Membership

Membership on the Board of Governors is available to any Signatory or group of Signatories with an investment share above a minimum to be set annually by the Meeting of Signatories, discussed in Section II, B. 4., *infra,* in order to maintain the number of Governors (as the members of the Board are called) eligible on this basis at an average of about twenty. The initial minimum investment share for the first Board of Governors is that equal to the share held by the thirteenth largest investor in INTELSAT at the date of entry into force of the definitive arrangements.[6] The Agreement also provides for one Governor representing any group of five or more Signatories from any of the five geographic regions defined by the ITU Plenipotentiary Conference at Montreaux in 1965, regardless of the total combined investment shares of the group; however, no more than two Governors from any one region nor more than five from all regions may be on the Board.[7]

Article IX(e) of the Agreement provides for continuity of all Governors until the next annual determination of investment shares, regardless of any change in the interval in the investment shares of the Signatories they represent. However, the Agreement provides that group representation shall cease immediately if any Signatory's withdrawal from the group would otherwise make the group ineligible for representation.[8]

Each Signatory represented on the Board has a voting participation equal to its percentage of utilization of the INTELSAT space segment for international public and certain specified types of domestic public traffic.[9] The Board is to endeavor to act unanimously. If it fails to do so, then decisions on substantive matters are to be taken by the affirmative support of at least four Governors who shall represent not less than two-thirds of the voting participation, or, in the alternative, by all the Governors with no more than three voting in the negative, regardless of the total number of votes. Decisions on procedural matters are to be taken by a simple majority of the Governors present and voting, each having one vote. No Governor may cast more than 40% of the votes

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[6]Agreement, art. IXa(1), (ii) and b. Representation on the Interim Committee is based solely on Investment Quota. Interim Agreement, *supra* note 5 at art. IV(b).

[7]Agreement, art. IXa(III) and d. The five regions are the Americas, Western Europe, East Europe/North Asia, Africa, and Asia/Australia.

[8]Agreement, art. IX(e). For the provisions under the interim arrangements with respect to a reduction in investment quota due to the entrance of a new signatory and with respect to the effect on a group of the withdrawal of a signatory see Interim Agreement, arts. IV(e) and XI(d).

[9]Agreement, art. IX(f). The type of domestic traffic to be included is that, approved by the meeting of signatories, and described in Sect. II. D., *infra.* The voting participation of a signatory might therefore be less than its investment share which is based upon total use of the INTELSAT space segment. See Sec. II. C., *infra.* A signatory's vote in the Interim Committee equals its investment quota. Interim Agreement, art. V(a).

represented on the Board; any excess is to be distributed to the other members equally.[10] The Chairman of the Board is to rule on whether a matter is substantive or procedural; he may be overruled by a two-thirds majority of the Governors present and voting, each having one vote.[11] These provisions are designed to "spread" powers among more members of the Board and dilute those of the largest users of the system.

2. Management Arrangements for an Executive Organ

The definitive arrangements provide for management by creating an executive organ[12] which, during a two step process over a period of about six years, is to assume total responsibility for all management functions for INTELSAT. That process is described below.[13]

As a matter of priority after the entry into force of the definitive arrangement the Board of Governors is to appoint a Secretary General to head the executive organ; he may be removed at any time by the Board for cause. The Secretary General is to be the legal representative of INTELSAT. He is responsible to the Board of Governors for those management functions of an administrative and financial nature; these are set forth in Annex A to the Agreement. The Secretary General's tenure terminates upon the assumption of office of the Director General, discussed below.

Management functions of a technical and operational nature are to be provided by the Communications Satellite Corporation, COMSAT, pursuant to a management services contract with INTELSAT which is to terminate six years after the entry into force of the definitive arrangements; the functions which Comsat is to perform are listed in Annex B to the Agreement. During the tenure of the Secretary General, COMSAT is to be responsible to and report directly to the Board of Governors. The Secretary General is to keep the Board informed "on the performance" of COMSAT and "to the extent practicable, . . . be present at or represented at and observe, but not participate in, major contract negotiations conducted" by COMSAT, on behalf of INTELSAT. However, he is not to be "interposed" between the Board and COMSAT as contractor.

By December 31, 1976, a Director General is to be appointed by the Board of Governors and confirmed by the Assembly of Parties to head the executive organ; he may be dismissed for cause by the Board of Governors. Upon assuming office he will be the chief executive and legal representative of INTELSAT, and be responsible to the Board of Governors for *all* management services including those performed by COMSAT (which is

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[10]Agreement art. IX(j) and (g)(iv). Decisions in the Interim Committee require a majority of the weighted vote; certain items require the votes of the largest investor plus 12.5 of the remaining votes. Interim Agreement, art. V(c).

[11]Agreement, art. IX(k).

[12]*Id.*, art. VI(a)(iv). Management services under the Interim Arrangements are provided by the Communications Satellite Corporation (COMSAT). Interim Agreement, art. VIII.

[13]Agreement, arts. XI and XII.

then to report to him and not the Board). In carrying out his functions, the Director General is to act in accordance with the policies and directives of the Board of Governors. Following the expiration of the management services contract with COMSAT, the Director General is to contract out, to one or more competent entities, technical and operational functions to the maximum extent practicable with due regard to cost and consistent with competence, effectiveness and efficiency.

3. The Assembly of Parties

Under the definitive arrangements, unlike the interim arrangements, governments in their sovereign capacities have an institutionalized role in a new organ, the Assembly of Parties, described as the "principal organ of INTELSAT".[14] The functions and powers of the Assembly of Parties are those of interest to sovereign entities and are designed so that there is minimum interference with the responsibilities of the Board of Governors. Thus, the Assembly "shall give consideration to those aspects of INTELSAT which are primarily of interest to the Parties as sovereign States" and can consider general policy and long-term objectives consistent with the principles and purposes and scope of activities of INTELSAT and within the limitations relating to the interrelationship of organs (described in Section II, B. 5., *infra*).

Its specified functions deal, *inter alia,* with amendment of the agreements, authorization of the providing of facilities by INTELSAT for specialized services, recommendations regarding separate satellite systems, the withdrawal of a Party, formal relationships with States or international organizations, complaints submitted by Parties, selection of legal experts for the settlement of disputes and confirmation of the appointment of the Director General.

Each representative has one vote. Decisions on substantive matters require the affirmative vote of two-thirds of the representatives present and voting while those on procedural matters require the affirmative vote of a simple majority of those present and voting.

The first ordinary meeting of the Assembly is to be convened by the Secretary General within one year of the entry into force of the definitive arrangements. Thereafter, ordinary meetings are scheduled once every two years unless otherwise decided by the Assembly. Provision is also made for extraordinary meetings.

4. The Meeting of Signatories

Unlike the interim arrangements, the definitive arrangements create an organ in which all Signatories are represented: the Meeting of Signatories.[15]

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[14] *Id.*, at art. VII.

[15] *Id.*, at art. VIII.

The functions of this organ are related to those aspects of INTELSAT which are of interest to the Signatories as investors and participants in the Organization. As with the Assembly of Parties it is subject to limitations on its power (see Section II, B. 5., below on interrelationship of organs). Its function and powers relate, *inter alia,* to future programs, annual financial statements, increases in INTELSAT's authorized capital ceiling, general rules on approval of earth stations, allotment of capacity on the system and rates for use of the system, withdrawal of a Signatory, complaints of Signatories or non-members, and the minimum investment share required for membership on the Board of Governors.

Each representative has one vote. Decesions on substantive matters require the affirmative vote of two-thirds of the representatives present and voting while those on procedural matters require the affirmative vote of a simple majority of those present and voting.

The Meeting of Signatories is to be convened by the Secretary General within nine months of the entry into force or the definitive arrangements; thereafter it is to meet annually. Extraordinary meetings may also be called.

5. Relationships Between Organs:
Limitation on the Powers of Organs

The relationship between the Board of Governors, Assembly of Parties and Meeting of Signatories, is carefully delineated in the Agreement to achieve a careful balance between them. Article VI of the Agreement states that, unless specifically provided otherwise, "no organ shall make determinations or otherwise act in such a way as to alter, nullify, delay or in any other manner interfere with the exercise of a power or the discharge of a responsibility or a function attributed to another organ by this Agreement or the Operating Agreement." Subject to this limitation, each organ is to "take note of and give due and proper consideration to any resolution, recommendation or view made or expressed by another of these organs acting in the exercise of the responsibilities and functions attributed to it by this Agreement or the Operating Agreement." There is one difference, though perhaps meaningless, between the three organs in this regard: only the Board of Governors is required to explain to the other organs the action it takes with respect to resolutions, recommendations and views submitted to it by them and its reasons for such action.[16]

C. Financial Arrangements

The principle underlying the financial arrangements under the interim as well as the definitive arrangements is that a Signatory's investment in the system should be related to

[16] *Id.,* at art. X(b).

its actual use of the system.[17]

Under the definitive arrangements each Signatory will have an investment share in INTELSAT equal to its percentage of all utilization of the INTELSAT space segment by all Signatories; however, no Signatory may have an investment share less than 0.05 percent. Investment shares will be adjusted annually to ensure that they reflect recent utilization. Signatories will be permitted to take an investment share smaller than they would receive on the basis of their use as long as others are willing to accept a corresponding increase in their investment shares.[18]

The Operating Agreement establishes a $500 million ceiling on the sum of the net capital contributions of the signatories and of the outstanding capital commitments of INTELSAT. The Meeting of Signatories may increase the ceiling from time to time; the Board of Governors may increase any current ceiling by up to 10 percent.[19] Each Signatory is to contribute to the capital requirements of INTELSAT in proportion to its investment share and receive capital repayment of capital and compensation for use of capital in proportion to its investment share.[20]

As under the interim arrangements, there will be a space segment utilization charge to cover the costs of operation and maintenance, the amortization of Signatories' investments, and compensation for use of capital. The rates of space segment utilization charges for each type of utilization are to be the same for Signatories and non-Signatories. The Board of Governors, in determining the rate for compensation for use of capital must fix the rate as close as possible to the cost of money in world markets but may add a factor which takes into account the risks associated with investment in INTELSAT.[21]

D. Scope of Activities

INTELSAT's purpose is defined as the continuation and carrying forward, on a definitive basis, of the design, development, construction, establishment, operation and maintenance of the space segment of the global commercial telecommunications satellite system.[22]

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[17] See generally Colino, INTELSAT: Doing Business in Outer Space, 6 Colum. J. Transnat'l. L. 17, 40-42 (1967), for a description of the financial provisions under the interim arrangements and their history. See also Interim Agreement, art. VI.

[18] Agreement, art. Vb; Operating Agreement, art. 6.

[19] Agreement, arts. VIIIb(iv) and X(a)(ix); Operating Agreement, art. 5.

[20] Agreement, art. V(c); Operating Agreement, arts. 4 and 8.

[21] Agreement, arts. V(d), VII(c)(v), VIII(b), (v), (c) and X(a)(iii); Operating Agreement, art. 8.

[22] Agreement, art. IIa. The purpose and scope of activities of INTELSAT under the interim arrangements is briefly stated to be the "design, development, construction, establishment, maintenance and operation of the space segment of the Global Commercial Communications Satellite System. . ." Interim Agreement, art. I. The definitive arrangements go into greater detail as to the types of services for which facilities may be provided; the scope of activities is described in this part. Agreement, arts. IV, V(e), VII(c)(iv) and X(a); Operating Agreement, art. 8(b).

INTELSAT's prime objective is the regulation of the space segment for all international public telecommunications[23] and those domestic public telecommunications between areas separated by areas not under the jurisdiction of the same state or by the high seas and those domestic public telecommunications, if the Meeting of Signatories so approves, between areas not linked by terrestrial wideband facilities and separated by natural barriers of such an exceptional nature that they impede the viable establishment of terrestrial wideband facilities between such areas. Other domestic public telecommunications may be provided on the INTELSAT space segment on a non-discriminatory basis, to the extent that the ability of INTELSAT to achieve its prime objective is not impaired.

On request, and under appropriate terms and conditions, and pursuant to authorization given by the Assembly of Parties "at the planning stage", specialized telecommunications services,[24] international or domestic, other than for military purposes, can be provided on the INTELSAT space segment if the regulation of public telecommunications is not unfavorably affected and the arrangements are otherwise acceptable from a technical and economic point of view. Such use is to be covered by contracts between INTELSAT and those requesting the service. Where such utilization will involve additional costs arising from "required modifications to the existing or planned INTELSAT space segment," authorization is to be sought from the Assembly of Parties as soon as "the Board of Governors is in a position to advise the Assembly of Parties in detail regarding the estimated cost of the proposal, the benefits to be derived, the technical or other problems involved, and the probable effects on present or foreseeable INTELSAT services." Before making such authorization, the Assembly, in appropriate cases, must consult or ensure that there has been consultation by INTELSAT with the relevant U.N. specialized agency.

INTELSAT may also provide upon request and under appropriate terms and conditions satellites and associated facilities separate from the INTELSAT space segment (*i.e.* not financed or owned by INTELSAT) for specialized public telecommunications services, international and domestic, other than for military purposes, if the efficient and economic operation of the INTELSAT space segment is not unfavorably affected in any way. The same requirements as to coverage of the services by contracts, Assembly authorizations and consultation with the U.N. specialized agencies apply to separate systems. INTELSAT may itself finance and own such separate satellites upon the unanimous approval of all Signatories. INTELSAT may also provide separate facilities for

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23" 'Public telecommunications services' means fixed or mobile telecommunications services which can be provided by satellite and which are available for use by the public, such as telephony, telegraphy, telex, facsimile, data transmission, transmission of radio and television programs between approved earth stations having access to the INTELSAT space segment for further transmission to the public, and leased circuits for any of these purposes; but excluding those mobile services of a type not provided under the Interim Agreement and the Special Agreement prior to the opening for signature of this Agreement, which was provided through mobile stations operating directly to a satellite which is designed, in whole or in part, to provide services relating to the safety or flight control of aircraft or to aviation or maritime radio navigating." Agreement, article I(k).

24*Id.* art. I(1).

domestic and international public services.

E. Juridical Status

INTELSAT under the interim arrangements has no juridical personality separate from its members and could best be described as a partnership or joint venture. It follows the pattern in this respect of most cooperative agreements for the establishment of international communications facilities, of which the fifth transatlantic cable, the TET-5, is an excellent example. That agreement, between operating entities in the United States, Spain, Portugal and Italy (entered into with the approval of their respective governments), created no new juridical entity; the parties retain their separate juridical identities. Each party contributes to the capital and operating costs of the TAT-5 project in proportion to the number of circuits it is allocated and decisions are taken on the basis of a majority votes of the parties, each party having a weighted vote in proportion to its relative capital contribution. Maintenance and operation of the facility is provided by the parties—each one being responsible for a specific section. Each party is subject to its own country's legal requirements and practice.[25]

The definitive arrangements, on the other hand, establish an international organization with its own juridical personality. Article IV of the Agreement provides:

(a) INTELSAT shall possess juridical personality. It shall enjoy the full capacity necessary for the exercise of its functions and the achievement of its purposes, including the capacity to:

(i) conclude agreements with States or international organizations;

(ii) contract;

(iii) acquire and dispose of property; and

(iv) be a party to legal proceedings.

(b) Each Party shall take such action as is necessary within its jurisdiction for the purpose of making effective in terms of its own law the provisions of this article.

One of the consequences of this granting of separate legal personality is that INTELSAT itself owns the INTELSAT space segment. However, although INTELSAT has a separate juridical personality limited liability is not confered on the Signatories who remain liable

[25] See Transatlantic No. 5 and Mediterranean No. 1 Submarine Cable System, Construction and Maintenance Agreement, June 20, 1968. See also 9 Whiteman, Digest of Int. Law 879, 902-917 (1968). As to some of the reasons and significance of INTELSAT's lack of juridical personality under the interim arrangements, see S. H. Lay and H. Taubenfeld, The Law Relating to Activities of Man in Space, 127-29 (1970).

for all of INTELSAT's liabilities and obligations in proportion to their investment shares.[26]

III. SUMMARY AND CONCLUSIONS

Space limitations unfortunately do not permit description of other important provisions of the definitive arrangements, including those dealing with procurement, rights in inventions and technical data, and settlement of disputes. This paper has attempted to provide a description of only certain important aspects of INTELSAT under the definitive arrangements—the structure of the organization, its purposes and scope of authorized activities, financial arrangements and juridical status—in order to provide an understanding of how INTELSAT will look in the future.

The INTELSAT definitive arrangements have now taken their place among the more important international agreements; perhaps they shall prove to be an example for future negotiators in dealing with the application of advanced technologies on an international level.

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[26]As to membership, see Agreement, art. V(a); and as to liability, see Operating Agreement, art. 18. For the significance as to ownership and liability under the interim arrangements, see Interim Agreement, art. III and H. S. Lay and H. Taubenfeld, *supra* note 25.